

Class 11th | BST



Unit - 1

Internal Trade

Chapter 9 | Lecture 1

MEANING

When buying and selling of goods and services takes place within the geographical limits of a country, it is known as Internal Trade.

In internal trade, payments for goods and services are made and received in a country's national currency only.





MAIN FEATURES OF INTERNAL TRADE

- The buying and selling of goods and services takes place within a country.
- The payments are made and received in the home currency only.
- There are no or very few formalities to be completed by the traders.
- Various local modes of transport can be used for transfer of goods and services.



TYPES OF INTERNAL TRADE

huge quantities.

Wholesale Trade



Retail Trade

Small lots.



Manufacturer → Wholesaler → Retailer → Consumer.

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WHOLESALE TRADE

- ✓ Wholesale Trade refers to the trade in which goods are sold in large quantities.
- ✓ Wholesaler buys the goods directly from the manufacturer in bulk and sells them in small lots to the retailer.
- ✓ A wholesaler acts as a middleman between the manufacturer and the retailer.



Features of Wholesale Trade

- ✓ Wholesaler acts as a link between producer and retailer.
- ✓ Wholesaler deals with large quantities of goods.
- ✓ Wholesaler is generally specialised in one line of product. For example, stationery, foodgrains, etc.
- ✓ Wholesaler invests large amounts of capital in maintaining stock of goods.
- ✓ Wholesaler generally sells goods in small lots to retailers and generally does not sell to the ultimate consumer.
- ✓ Generally the margin of profit of wholesaler is low.
- Wholesaler is the first intermediary in the distribution chain.

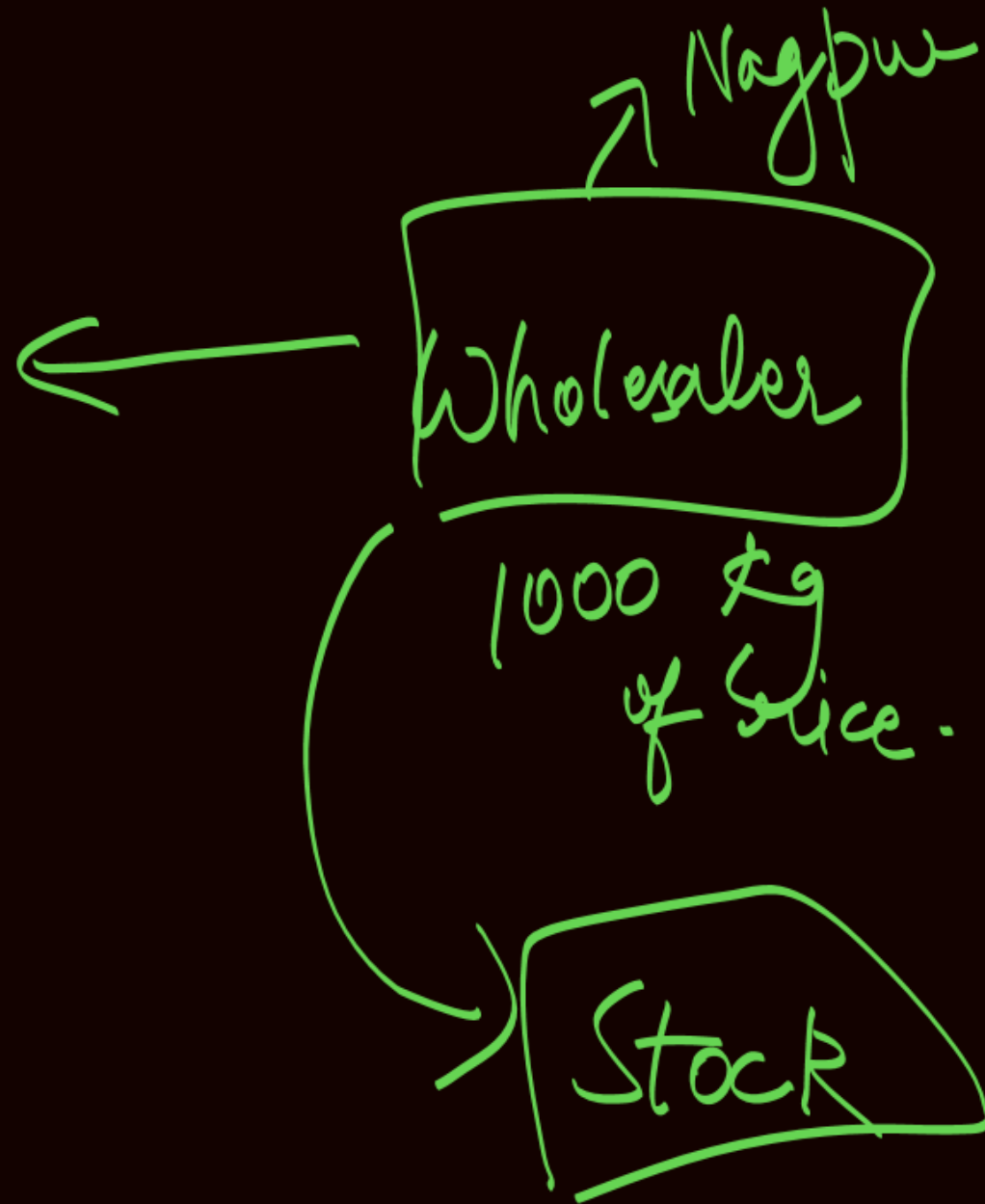
per unit $\Rightarrow 53$

$$1000 \times 3 = 3000$$

$$3000 \times 30 = \underline{\underline{90000}}$$

Producer

Rice



Retailer

1 - 50 kg

2 - 60 kg

3 - 40 kg

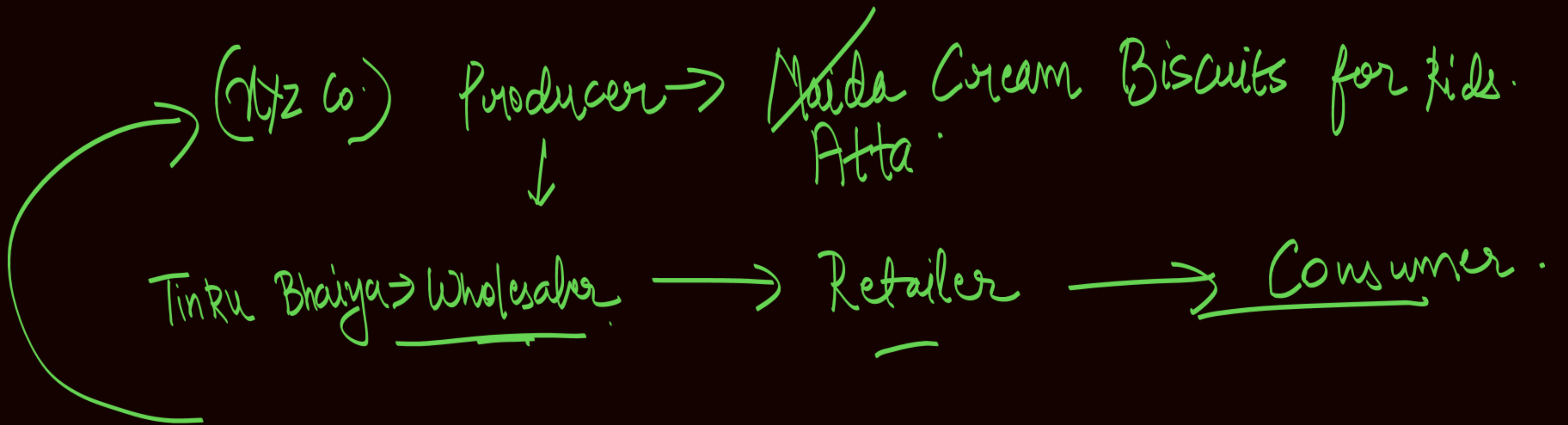
150 kg

WHOLESALE TRADE

Services of the Wholesalers

- Services to Manufacturer (Producer)
 - ✓ Facilitate large scale Production and Economies of scale: Economies of scale refers to benefits of operating at a large scale. Wholesalers help the manufacturers to avail the benefits of large-scale operations as they buy goods in large quantity.
 - ✓ Helps in marketing functions: The salespersons of wholesalers perform the task of persuading the retailers to display and sell the goods at their retail outlets.





Annual 1,00,000 packets of milk (Producer).

Wholesaler $\rightarrow$ 10,000 Packets of milk.

- ✓

WHOLESALE TRADE

Services of the Wholesalers

- Services to Manufacturer
 - ✓ Expert advice: The wholesaler provides information regarding the preferences and expectations of the customers to the manufacturer. He also collects information regarding the products of competitors, price of their product, make suggestions about the types and quality of goods required by the consumers.
 - ✓ Storage: Wholesalers provide facility of storage of goods by buying the goods in bulk. Wholesalers take the complete responsibility of storage of goods and bear the risk of theft or spoilage, etc.



WHOLESALE TRADE

Services of the Wholesalers

- Services to Manufacturer
 - ✓ Financial assistance: Wholesaler provides financial support to the manufacturer by buying the goods for Cash. Sometimes, he pays in advance while placing order. Therefore, manufacturers have to invest minimum capital in their business.
 - ✓ Bearing Risks: The wholesalers deal in goods in their own name, take delivery of the goods and keep the goods in large lots in their warehouses bearing variety of risks such as the risk of fall in prices, theft, spoilage, fire, etc.
 - ✓ Facilitate Production Continuity: The Wholesalers facilitate continuity of production actively throughout the year by purchasing the goods as and when they are produced and storing them, till the time these are demanded by retailer or customers in the market.

1 week → ~~90,000~~
1,00,000



WHOLESALE TRADE

Services of the Wholesalers

- Services to Retailers

- Availability of goods: The retailer has to maintain stock of large variety of products to meet demand of the customers. The wholesaler provides the products of various manufacturers to the retailers and saves them from keeping large quantity of each product.
- Grant of Credit: Wholesaler sells goods to retailers on credit. Therefore, retailers need not maintain large working capital. They can make payment after receiving the payment from the customers.
- Risk Sharing: Wholesaler bears the risk of change in demand, risk of damage in transit, risk of theft or spoilage in warehouse, etc. Retailers are relieved from all such risks as wholesaler bears these risks for retailers. Retailer is saved from the risk associated with transport or storage of goods.



WHOLESALE TRADE

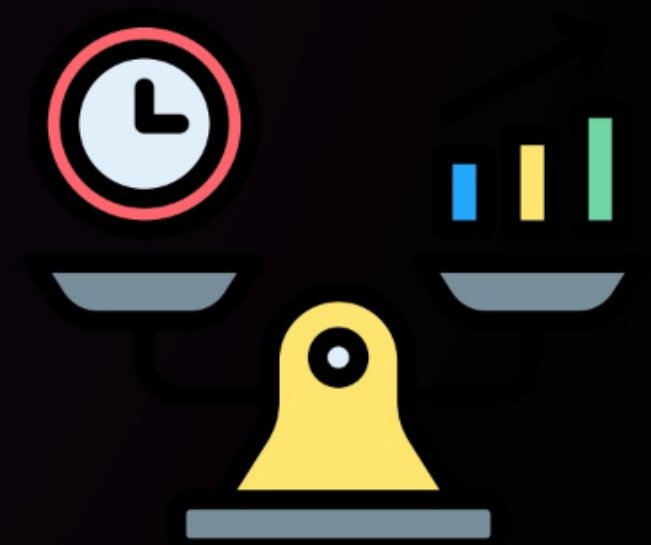
Services of the Wholesalers

- **Services to Retailers**
 - **Specialised knowledge:** Wholesaler has direct link with the manufacturers so he comes to know about the latest technology used by the manufacturer and also about the new products produced. Therefore, he informs the retailers about the new techniques, new products and their use to the retailer. A wholesaler keeps updating the knowledge of the retailers.
 - **Publicity:** Wholesalers advertise the brands and goods kept with them. Such publicity helps the retailer also to increase his sales. Generally wholesalers do publicity by distributing pamphlets, banners or by painting their transport vehicles, etc. This type of publicity helps in increasing the sale of local retailers.

WHOLESALE TRADE

Services of the Wholesalers

- Services to Retailers
 - Marketing Support- Wholesalers perform various marketing functions and provide support to the retailers. They undertake advertising and other sales promotion activities to induce customers to purchase the goods. The retailers are benefitted as it helps them in increasing the demand for various new products.
 - Economies of Scale- Wholesaler buys the goods in large quantity so he gets a big discount from manufacturer. They share this discount with retailers by supplying the goods with low profit margin. Retailer buys the goods in small lots, so directly they cannot get more discount from the manufacturer.



QUESTION

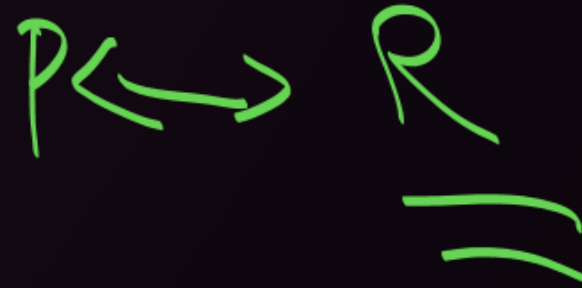
Which of the following is a function of a wholesaler in the distribution channel?

- (a) Selling goods directly to end consumers
- (b) Providing after-sales service to customers
- ☒ (c) Purchasing goods from manufacturers in bulk
- (d) Advertising and promoting products

QUESTION

Niranjan deals in cosmetics on large scale. He buys the goods in bulk directly from the manufacturers and supply the same to the shops. He does not deal directly with the customers. Niranjan also provides financial support to manufacturers by making payment in advance while placing the order. On the basis of the given information, answer the following questions:

- (a) In which type of business Niranjan is engaged? *Wholesale Trade.*
- (b) Niranjan is serving as an important link between the two parties. Identify the two parties.



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